Canada spends billions to shield steel and autos from US tariffs

On 21 October, Prime Minister Mark Carney and Ontario Premier Doug Ford announced a joint package to support Canadian steel and auto firms hit by 50% US tariffs. The package caps two months of escalating protectionism between the two countries. It shows the full cycle of a modern trade war: tariffs, retaliation, then subsidies to cushion the damage at home.

50%
US tariff on about US$20b of Canadian goods since late August

~C$9b
Federal–Ontario package: about C$5b steel, C$2.5b autos, plus critical minerals

10–50%
Canada's dollar-for-dollar retaliatory tariffs on US goods from 8 September

−10%+
Fall in Canadian auto exports to the US

−20%+
Fall in US exports to Canada

~20,000
Jobs Ontario lost in September (Statistics Canada)

How it came to this

21 August
Last-ditch talks in Washington fail. Canada had offered to discuss dairy quotas, US alcohol sales in provincial liquor boards and dropping counter-tariffs on US vehicles. In return it wanted the US to reduce its Section 232 tariffs on Canadian steel, aluminium and autos. Carney said late US demands made a deal uneconomic and suspended negotiations.

Late August
The US applies an extra 50% tariff under Section 338 to a range of Canadian goods worth about US$20 billion, including 52 dairy tariff lines. Goods that previously entered duty-free under the USMCA/CUSMA agreement are no longer exempt.

24 August
President Trump threatens a further 50% tariff on autos, auto parts and steel from 1 January 2027.

Late August
Ottawa announces a C$7.5 billion worker package on top of almost C$25 billion in earlier tariff relief. It includes looser unemployment insurance (EI) rules and a merged work-sharing and retraining program.

8 September
Canadian retaliation begins, with dollar-for-dollar tariffs of 10–50% on US steel, dairy, appliances, farm equipment, pulp and paper, electronics, fish and trailers.

21 October
Carney and Ford announce the steel and auto package. The same day, US-owned Cleveland-Cliffs confirms layoffs at its Hamilton, Ontario plant, and Carney speaks with Trump without a breakthrough.

What the package does

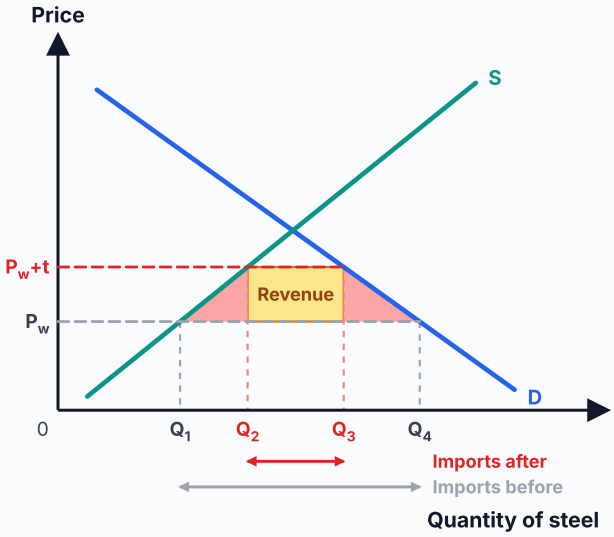
Most of the money targets steel. A joint steel action fund of about C$5 billion is meant to help Ontario mills modernise, lift domestic output and expand into markets outside the US. A further C$2.5 billion supports vehicle assembly and next-generation vehicle manufacturing. The package also fast-tracks the Ring of Fire critical-minerals region in northern Ontario.

The governments say the package protects more than 100,000 steel jobs, including in Hamilton and Sault Ste. Marie, and over 120,000 direct auto jobs. Ford claims Ring of Fire minerals could add C$22 billion to Ontario's economy and create 70,000 jobs. These are projections, not measured results. Carney's longer-term goal is trade diversion: doubling Canada's exports to non-US markets within a decade.

Figures vary between reports. Canadian outlets (money.ca, Western Standard) describe a "nearly C$9 billion" federal–provincial partnership, with more than C$5 billion for steel and C$2.5 billion for autos. Euronews reports C$6.2 billion, made up of about C$3.7 billion for steel and C$1.8 billion for autos over five years, with Ottawa providing C$1.1 billion of the auto money. The gap probably reflects whether the critical-minerals spending and both governments' shares are counted. Students should quote the figure with its source.

The economics: tariffs on one side of the border

DIAGRAM **Effect of a tariff on the US steel market**

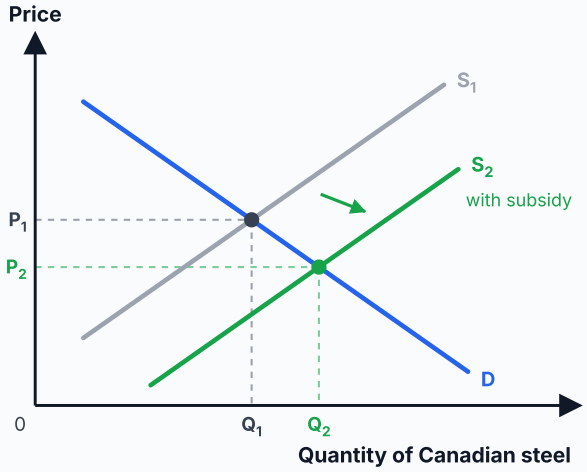


Before the tariff, US buyers can import Canadian steel at the world price **P_w**. US firms supply Q_1, buyers demand Q_4, and imports fill the gap Q_1–Q_4.

The tariff raises the domestic price to **P_w+t**. US producers expand to Q_2, consumption falls to Q_3, and **imports shrink to Q_2–Q_3**. The US government collects the yellow revenue rectangle. The red triangles are deadweight losses from inefficient domestic production and lost consumption.

Exam angle: for Canada, the tariff is an export shock. Lower sales to the US reduce output and jobs in Canadian steel towns, which is exactly what the support package is trying to offset.

DIAGRAM **Canada's response: assistance to domestic producers**



Government assistance lowers firms' costs, for example by funding modernisation. This shifts supply from **S_1 to S_2**, so output rises from Q_1 to Q_2 at a lower price (P_1 to P_2).

The benefit is that mills stay open and workers keep jobs. The costs are that **taxpayers fund it**, it can prop up less efficient producers, and trading partners may treat it as an unfair subsidy, which risks further retaliation.

Who bears the cost?

The trade war is lopsided. Most of Canada's exports go to the US, while US exports are spread across many markets. The 50% tariffs cover only about 5% of US imports from Canada, so the hit to Canadian output is proportionally much larger. Russell Investments expects US growth to stay strong despite the tariffs and the inflation effect in both countries to be modest. It thinks the Bank of Canada is more likely to cut rates to support growth than to raise them.

Retaliation also has a domestic cost. Carney acknowledged that Canada's counter-tariffs will raise prices and limit choice for Canadian consumers and firms that use US inputs. Unemployment insurance replaces only 55% of average insured earnings, capped at about C$729 a week, so laid-off workers still lose a large share of their income.

Losers

- **Canadian exporters and workers** in steel, autos and dairy, who face lost US sales and layoffs
- **US consumers and steel users**, who pay P_w+t and buy less
- **Canadian consumers**, who pay more for US goods hit by retaliatory tariffs
- **Taxpayers** in both Ottawa and Ontario, who fund the package

Winners (short term)

- **US steel producers**, who sell more at a higher protected price
- **The US government**, which collects tariff revenue
- **Assisted Canadian firms**, which survive and modernise
- **Non-US markets**, which gain if Canada redirects its exports to them

Why it matters for Australia

Australia's steel and aluminium exporters have also faced US Section 232 tariffs since 2025, so the Canadian case shows the risk of relying on access to a single large market. The same lesson applies to Fortescue's current standoff with China's state iron-ore buyer. A wider North American trade war also affects Australia indirectly: it slows world growth, and redirected Canadian exports, such as steel and seafood, may compete with Australian goods in third markets.

SYLLABUS LINK

Topic 1 – The Global Economy: protectionism (tariffs, subsidies and retaliation) and their effects on trade flows, prices, output and jobs; trade agreements (USMCA/CUSMA) and why bilateral deals can break down; the uneven distribution of the costs and benefits of free trade.

Links: Topic 2 (export concentration risk for Australia); Topic 4 (limitations of industry assistance).

TRY THIS

1. Using a diagram, explain the effect of a tariff on domestic producers, consumers and government revenue in the importing country. **(5 marks)**
2. Explain why the costs of the US–Canada trade war fall more heavily on Canada than on the US. **(4 marks)**
3. Assess the effectiveness of industry subsidies as a response to a trading partner's tariffs. **(6 marks)**

Sources: Euronews, "Canada unveils $6.2bn plan to shield manufacturers as Trump trade tariffs bite", 22 Oct 2026 — https://www.euronews.com/2026/10/22/canada-unveils-62bn-plan-to-shield-manufacturers-as-trump-trade-tariffs-bite · money.ca, "Carney and Ford unveil joint support package for Ontario's auto and steel sectors", 21 Oct 2026 — https://money.ca/news/economy/ontario-auto-steel-tariff-support-carney-ford · Western Standard, "Ford and Carney announce nearly $9 billion for Ontario steel, auto and Ring of Fire", 21 Oct 2026 — https://www.westernstandard.news/news/watch-ford-and-carney-announce-nearly-9-billion-for-ontario-steel-auto-and-ring-of-fire/78068 · Global Cold Chain Alliance, "August 2026 Trade Updates: U.S.-Canada Talks Collapse" — https://www.gcca.org/news-announcements/august-2026-trade-updates-u-s-canada-talks-collapse/ · Russell Investments, "What the new Section 338 tariffs mean for the U.S. and Canada", Aug 2026 — https://russellinvestments.com/content/ri/us/en/insights/russell-research/2026/08/338-tariffs-US-Canada.html · DFAT, "Latest on US tariffs and trade measures" — https://www.dfat.gov.au/trade/trade-and-investment/latest-us-tariffs

Diagrams are illustrative and not to scale. Summary prepared 23 October 2026.